Hanwha Systems (272210 KS)

3Q26 review: lower valuation burden, higher rerating expectations

Jong-min Baik
Defense/Space/AI/Robotics
jongmin.baik@yuantakorea.com

BUY (M)

Target price	W109,000 (Down)
Previous target price	W136,000
Current price (Oct 27)	W63,100
Upside potential	73%

Market cap (Wbn)	11,921
Shares outstanding	188,919,389
Avg daily T/O (2M, Wbn)	48
Avg daily volume (2M, shrs)	653,944
52-week high/low (won)	162,700 / 45,350
Foreign ownership (%)	9.13%
Dividend yield (%)	0.92%
Major shareholders	Hanwha Aerospace & others

Stock performance

(%)	1M	3M	12M
Absolute	(14.6)	0.2	12.1
Relative	7.2	20.0	(19.6)
Abs (US$)	(12.4)	11.1	21.2

3Q26 review: solid growth in core businesses

The firm's 3Q26P consolidated revenue came to W831.6bn (+30.1% YoY) and OP W99.1bn (+60% YoY, OPM 11.9%). As Philly Shipyard, which is slated for sale, was reclassified under discontinued operations starting this quarter, figures diverged from our estimates and consensus. Following the finalization of its disposal on Oct 31, discontinued operation gains/losses will likely be finalized. It will likely be excluded from consolidation as early as 4Q26. Pretax profit came to W133.7bn and net profit W3.8bn, likely reflecting equity valuation gains/losses, forex losses, interest income, and Philly Shipyard's operating loss. Defense sales came to W617.4bn (+28% YoY) and OP W76bn (+53% YoY, OPM 12.3%), as Iraq multi-function radar (MFR) volumes were added to existing Middle East shipments, alongside domestic projects including the K2 and KF-21. ICT business revenue of W212.6bn (+37% YoY) and OP W24bn (+100% YoY, OPM 11.3%).

2026 earnings and order guidance

For 2026 full-year defense business earnings, the company expects revenue growth of over 20%, but OP to remain flat YoY. This is attributable to higher in-house R&D investments for future businesses including Cheongwang (laser air defense weapon), satellites, and AI, with the company guiding for R&D spending of more than 3-4x the 2025 level of roughly W23bn. In fact, the company is understood to have spent W38bn cumulatively through 3Q26. As such, about W50bn in R&D expenses is expected in 4Q26. For the ICT business, management projects 20%-level growth for both revenue and OP. The company also projected that orders will grow by over 20% YoY from W3.5tn, with most concentrated in November-December. In Korea, the results of the W1.4tn micro-satellite system project will likely be unveiled in November, while opportunities including Cheongung (medium-range surface-to-air missile system) in the Middle East, initial exports of Cheongwang, and UAE defense cooperation will likely materialize.

Concerns over PSR contract partially alleviated

Regarding the W1.7tn Hanwha Ocean PRS contract signed in April, a substantial portion has reportedly already been sold and settled. Concerns over the settlement burden slated for April next year should ease.

Maintain BUY, but revise down target price to W109,000

The target price cut reflects a 19% downward revision to our 2028E EPS while: 1) stripping out Philly Shipyard earnings; and 2) factoring in higher R&D expenses. We maintain our target P/E at 35x despite removing MASGA-related expectations. This is because, the UAE business, if it gains momentum, could drive top-line growth and serve as a fundamental turning point that elevates the company into a prime system integrator.

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	832	3.0	-25.6	1,071	-22.3
OP	99	340.0	-4.4	62	60.1
Pre-tax net profit	132	35.5	142.0	70	88.7
Net profit, CI	118	-22.2	75.9	56	111.5
OPM (%)	11.9	+9.1 %pt	+2.6 %pt	5.8	+6.1 %pt
NPM (%)	14.2	-4.6 %pt	+8.2 %pt	5.2	+9.0 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	2,804	3,664	3,866	4,456
OP	219	120	304	416
Net profit, CI	454	242	304	434
P/E (x)	7.9	36.1	39.2	27.5
P/B (x)	1.4	1.8	1.6	1.2
EV/EBITDA (x)	11.0	33.4	25.0	20.6
ROE (%)	19.6	6.6	5.0	5.1

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Hanwha Systems: 3Q26P earnings` (Wbn)

	3Q26P	Our estimate		Consensus		QoQ		YoY	
		3Q26	Diff (%)	3Q26E	Diff (%)	2Q26	QoQ (%)	3Q25	YoY (%)
Sales	**831.6**	**1,113.0**	**-25.3**	**1,070.8**	**-22.3**	**887.2**	**-6.3**	**619.5**	**34.2**
OP	99.1	61.0	62.5	61.9	60.1	122.6	-19.2	61.9	60.1
OPM (%)	***11.9***	***5.5***	***6.4***	***5.8***	***6.1***	***13.8***	***-1.9***	***10.0***	***1.9***

Source: company data, FnGuide Quantiwise, Yuanta Securities

Earnings table

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E	2028E
Consol. sales	**573.7**	**619.5**	**639.2**	**1,266.3**	**644.9**	**887.2**	**831.6**	**1,502.5**	**3,098.7**	**3,866.2**	**4,456.2**	**5,445.0**
YoY (%)	*5.4*	*-9.8*	*0.0*	*35.7*	*12.4*	*43.2*	*30.1*	*18.7*	*10.5*	*24.8*	*15.3*	*22.2*
Defense	430.3	470.2	481.4	1,056.9	471.2	700.6	669.6	1,185.6	2,438.8	3,093.7	3,575.3	4,445.6
ICT	141.5	147.0	155.7	208.4	172.3	187.3	159.4	315.7	652.6	772.6	881.0	999.4
Others	1.9	2.2	2.2	1.0	1.4	-0.7	2.7	1.2	7.3	8.8	10.6	12.7
OP	**60.0**	**61.9**	**61.8**	**91.8**	**80.7**	**122.6**	**99.1**	**1.4**	**275.5**	**303.8**	**416.1**	**577.4**
YoY (%)	*31.9*	*-26.7*	*2.5*	*215.5*	*34.5*	*98.1*	*60.4*	*-98.4*	*25.6*	*10.3*	*36.9*	*38.8*
OPM (%)	**10.5**	**10.0**	**9.7**	**7.2**	**12.5**	**13.8**	**11.9**	**0.1**	**8.9**	**7.9**	**9.3**	**10.6**

Source: Yuanta Securities

Hanwha Systems: valuation table

	Value	Note
Applied EPS (won)	3,113	As of 2028E
Target P/E (x)	35	
Value per share (won)	108,969	
Target price (won)	**109,000**	**Rounded up to the nearest W1,000**
Current price (won)	63,100	Oct 27 close price
Upside (%)	**72.7**	

Source: Yuanta Securities

Hanwha Systems' sales portion within major weapon systems

Platform	Items	Percentage
K2	Fire control system, sights, etc.	**6-9%**
K9	Fire control system, etc.	**Less than 5%**
LAH	Electronic warfare suite (RWR, LWR), tactical data link (KVMF), displays (SMFD, SCDU), intercom (AIU)	**12%**
KF-21	AESA radar, mission computer (MC), multi-function display (MFD), audio communication control systems (ACCS), electro-optical targeting pod (EO TGP), infrared search and track (IRST)	**12%**
Cheongung	Multi-function radar (MFR), etc.	**27%**
L-SAM	Multi-function radar (MFR), etc.	**29%**

Source: Yuanta Securities

Hanwha Systems (272210 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**2,804**	**3,664**	**3,866**	**4,456**	**5,445**
Cost of sales	2,388	3,272	3,182	3,610	4,378
Gross profit	416	392	684	847	1,067
SG&A	196	272	380	430	490
Operating profit	**219**	**120**	**304**	**416**	**577**
EBITDA	333	300	472	574	726
Non-operating profit	362	-5	5	25	20
Forex gains	16	3	0	0	0
Net interest income	-8	-25	-22	-3	-8
Equity-method gains	-13	-5	5	5	5
Other	366	22	22	22	22
Net prof before income tax	581	115	309	441	597
Income tax	104	-86	46	66	90
Net profit from continuing ops	477	201	263	375	508
Net profit from discontinued ops	-32	8	0	0	0
Net profit	445	209	263	375	508
NP for controlling interest	**454**	**242**	**304**	**434**	**588**
Total comprehensive income	411	2,397	2,451	2,563	2,696
Total comprehensive income, CI	420	2,398	2,452	2,564	2,697

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**2,286**	**2,929**	**7,575**	**10,902**	**14,392**
Cash & cash equivalents	200	325	2,019	2,245	2,014
Accounts receivables & other	313	452	478	551	673
Inventory	610	811	855	986	1,205
Non-current assets	3,438	7,399	5,665	5,709	5,829
Tangible assets	570	823	788	760	736
Investment in affiliates	25	548	579	667	815
Other investment assets	1,878	5,090	3,395	3,407	3,428
Total assets	**5,724**	**10,327**	**13,240**	**16,611**	**20,221**
Current liabilities	2,677	3,335	3,647	4,269	4,961
Accounts payable & other	436	722	762	878	1,073
ST financial liabilities	30	301	451	601	501
Liquid LT liabilities	50	100	100	100	100
Non-current liabilities	631	1,991	2,236	2,515	2,831
LT financial liabilities	0	226	326	376	426
Debentures	249	848	948	1,048	1,098
Total liabilities	**3,308**	**5,326**	**5,882**	**6,784**	**7,791**
Equity, controlling interest	2,490	4,849	7,248	9,776	12,459
Paid-in capital	945	945	945	945	945
Capital surplus	1,092	1,123	1,123	1,123	1,123
Retained earnings	589	709	920	1,260	1,755
Equity, non-controlling interest	-74	152	110	51	-29
Total equity	**2,416**	**5,001**	**7,358**	**9,827**	**12,429**
Net debt	**152**	**1,128**	**-223**	**-172**	**22**
Total debt	473	1,616	1,967	2,271	2,278

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**133**	**79**	**279**	**273**	**288**
Net profit	445	209	263	375	508
Depreciation & amortization	92	141	134	129	124
Forex gains	-22	2	0	0	0
Affiliate investment gains	16	5	-5	-5	-5
Increase in net working cap	-218	-211	-169	-275	-385
Other	-182	-68	56	51	47
Investing cash flow	**-442**	**-1,170**	**1,464**	**-320**	**-406**
Investment	-144	-838	1,665	-101	-169
Increase in tangible assets	-240	-299	-100	-100	-100
Decrease in tangible assets	0	2	0	0	0
Other	-58	-35	-101	-119	-136
Financing cash flow	**35**	**1,237**	**387**	**339**	**42**
ST financial liabilities	-102	266	151	154	-93
Debenture/LT financial liabilities	245	876	200	150	100
Equity	-8	31	0	0	0
Cash dividend	-52	-65	-93	-93	-93
Other cash flow	-47	129	129	129	129
Consolidation adj and other	-2	-20	-436	-67	-156
Increase in cash & equivalents	**-276**	**126**	**1,693**	**226**	**-231**
Beginning cash & equivalents	476	200	325	2,019	2,245
Ending cash & equivalents	200	325	2,019	2,245	2,014
NOPLAT	219	209	**304**	**416**	**577**
FCF	**-107**	**-220**	**179**	**173**	**188**

Valuation

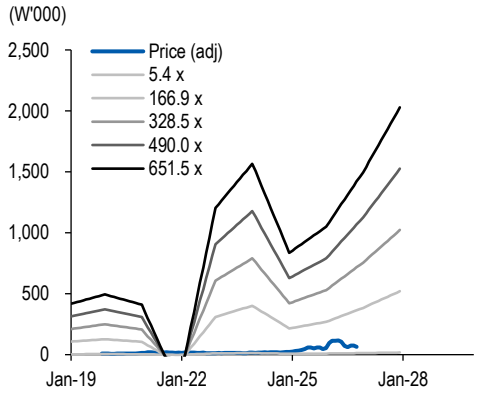
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	2,405	1,282	1,611	2,297	3,113
BPS (won)	13,316	25,933	38,761	52,282	66,627
EBITDA/shr (won)	1,765	1,590	2,498	3,037	3,844
SPS (won)	14,841	19,395	20,465	23,588	28,822
DPS (won)	350	500	500	500	500
P/E (x)	**7.9**	**36.1**	**39.2**	**27.5**	**20.3**
P/B (x)	**1.4**	**1.8**	**1.6**	**1.2**	**0.9**
EV/EBITDA (x)	**11.0**	**33.4**	**25.0**	**20.6**	**16.4**
P/S (x)	**1.3**	**2.4**	**3.1**	**2.7**	**2.2**

Key financial data

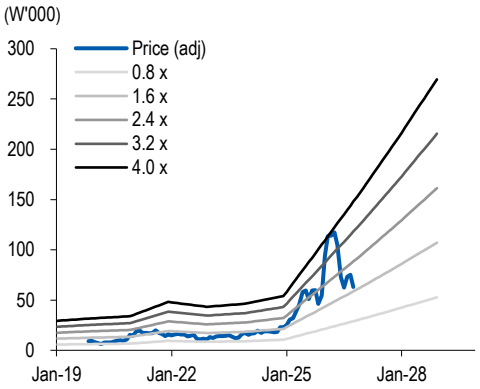
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**14.3**	**30.7**	**5.5**	**15.3**	**22.2**
Operating profit (%YoY)	**136.2**	**-45.3**	**153.4**	**36.9**	**38.8**
Net profit, CI (%YoY)	**30.1**	**-46.7**	**25.7**	**42.5**	**35.5**
Gross margin (%)	14.8	10.7	17.7	19.0	19.6
Operating margin (%)	**7.8**	**3.3**	**7.9**	**9.3**	**10.6**
Net margin, CI (%)	16.2	6.6	7.9	9.7	10.8
EBITDA margin (%)	11.9	8.2	12.2	12.9	13.3
ROIC (%)	28.6	23.3	12.0	8.8	8.3
ROA (%)	8.9	3.0	2.6	2.9	3.2
ROE (%)	**19.6**	**6.6**	**5.0**	**5.1**	**5.3**
Debt-to-equity (%)	136.9	106.5	79.9	69.0	62.7
Net debt-to-equity (%)	6.1	23.3	-3.1	-1.8	0.2
OP/financing cost (x)	9.8	3.2	4.7	5.4	7.0

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

P/E band chart



P/B band chart



Hanwha Systems (272210 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/28	BUY	109,000	1 yr		
2026/07/14	BUY	136,000	1 yr	-47.24	-39.04
2026/05/06	BUY	169,000	1 yr	-44.80	-30.95
	Analyst changed				
2024/11/11	BUY	28,000	1 yr	23.85	145.00
2024/03/06	BUY	20,000	1 yr	-7.43	16.00

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 28, 2026

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  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
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Yuanta Securities (Korea) International Network

Seoul

Head Office
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Research Center
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Hong Kong

Yuanta Financial (Hong Kong) Limited
Suite 22D, 24/F Block D, Mai Luen Industrial Bldg,
23-31 Kung Yip Street, Kwai Chung, N.T. Hong Kong
Tel: +852 6388 1870

Cambodia

Yuanta Securities (Cambodia) Plc.
4th Floor, Emerald Building, No.64 (corner St. 178),
Preah Norodom Blvd, Sangkat Chey Chumneah, Khan
Daun Penh, Phnom Penh, Cambodia
Tel: +855 23 860 800

Yuanta Securities (Korea)